

Earnest Money Deposit (EMD) Guide

STUDENT REFERENCE GUIDE

As a Lux Blueprint student, understanding how to structure your earnest money deposit is critical to locking up deals with minimal risk. The standard EMD is **1% of the purchase price**, but you can always negotiate less. This guide covers your options from best to last resort.

STANDARD EMD AMOUNTS

PURCHASE PRICE	STANDARD EMD (1%)	LOW EMD (0.5%)
\$500,000	\$5,000	\$2,500
\$750,000	\$7,500	\$3,750
\$1,000,000	\$10,000	\$5,000
\$1,500,000	\$15,000	\$7,500
\$2,000,000	\$20,000	\$10,000
\$3,000,000	\$30,000	\$15,000
\$5,000,000	\$50,000	\$25,000

KEY: 1% is standard but NOT a requirement. Many sellers will accept \$500–\$1,000. Present it with confidence and most sellers won't push back.

YOUR EMD OPTIONS — RANKED BEST TO LAST RESORT

RANK	STRATEGY	HOW IT WORKS	NOTES
#1 BEST	Use Your Own Funds	Wire or send a cashier's check for 1% of the purchase price to the title company. Clean and simple — no questions from the seller.	<i>The simplest and most professional path. Shows the seller you're serious and ready to close.</i>
#2	Transactional Funding	A transactional funding company puts up 100% of your EMD (and full purchase price for double closes) when you have a signed contract. They fund same-day or next-day closes. You pay a small fee at closing.	<i>Zero capital risk to you. Lets you scale without limits. Search Google for "transactional funding for real estate" and reach out to a company.</i>
#3	Negotiate a Lower EMD	Negotiate with the seller to accept a lower EMD amount, such as \$500–\$1,000 instead of the full 1%.	<i>Great for limiting your capital at risk. Works especially well when you have rapport with the seller.</i>
LAST RESORT	Inspection Period Clause	Add to Additional Terms: "Earnest money is due prior to the end of the inspection period." This buys you time to find your buyer first.	<i>Only use this if you truly do not have the funds. It can make your offer look weaker.</i>

HOW TO GET TRANSACTIONAL FUNDING

Transactional funding is the best way to do deals without using your own capital. Here's exactly how to get set up:

Step 1

Search Google for "transactional funding for real estate" and research companies that serve wholesalers.

Step 2	Reach out to 2–3 companies. Ask about their rates, requirements, and turnaround time.
Step 3	Most require: a signed purchase contract, proof of an end buyer or assignment, and a title company.
Step 4	Once approved, they wire the EMD (and full purchase price for double closes) directly to the title company.
Step 5	You close the deal, collect your assignment fee, and the transactional lender is repaid at closing.

INSPECTION PERIOD CLAUSE — LAST RESORT

If you do not have the funds for EMD and cannot get transactional funding yet, you can add the following language to the Additional Terms section of your purchase contract:

“ YOUR SCRIPT ”

"Earnest money is due prior to the end of the inspection period."

★ **WARNING:** This is a last resort. It can make your offer appear weaker to a seller. The best thing you can do is get set up with a transactional funding company so you always have EMD covered. Go to Google, search "**transactional funding for real estate**", and reach out to a company who will put up the EMD for you when you have a contract in place.

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